

KEY TERMINOLOGY

ECONOMY



MODULE - 8

- Capitalist Economy
- Socialist Economy
- Mixed Economy
- Import Licensing & Substitution

- Enterprise
- Trade Agreements
- De-Reservation
- Exim Bank Policy



- 1 This is also known as 'Market Economy'.
- 2 Only those consumer goods will be produced that are in demand that means, goods that can be sold profitably either in the domestic or in the foreign markets will be produced
- 3 If labour is cheaper than capital, more labour intensive methods of production will be used.
- 4 Goods are distributed among the people, not on the basis of what people need, but on the basis of what people can afford and are willing to purchase.



SOCIALIST ECONOMY

- 1 Socialist economy is the economy, where the Government decides what goods are to be produced.
- 2 This is in accordance with the needs of society.
- 3 This is the system, where the Government knows, what is good for the people of the country.
- 4 Individual desires are not given due importance.
- 5 The Government decides how goods are to be produced.
- 6 How the goods are to be distributed will be decided by the Government.
- 7 Distribution is supposed to be based on, what people need and what not as well as what they can afford to purchase.
- 8 Strictly speaking, socialist society has no private property, since everything is owned by the state.
- 9 With the collapse of the USSR during 1990s, socialist economies in the Former Soviet Union and socialist states of Eastern Europe ceased to exist.



After Independence, till 1990s, india followed Mixed Economy with Socialist bias

MIXED ECONOMIES

- 1 Most of the economies **across the world** are mixed economies.
- 2 The Government and market together answer the questions of:
 - What to produce?
 - How to produce?
 - How to distribute?
- 3 In the mixed economy, **market** will provide whatever goods and services it can produce well.
- 4 Government will provide **essential goods and services** where market forces cannot produce.



A word cloud featuring various economic and business terms. The most prominent words are 'People' (vertical, blue), 'Social' (large, green), 'Enterprise' (large, green), 'Business' (large, purple), 'Profit' (vertical, red), 'Trust' (red), 'Partnership' (purple), 'Investment' (vertical, blue), 'Clusters' (vertical, green), 'Micro' (vertical, purple), 'Ideas' (vertical, blue), 'Organic' (red), and 'Talent' (green).

KEY TERMINOLOGY IN ECONOMY



IMPORT LICENSING



IMPORT LICENSING

Permission required from the Government to import goods into the country



IMPORT SUBSTITUTION

- 1 This is the policy of the State for development of **domestic production** to substitute **import of goods**.
- 2 It may be through import controls, tariffs and other restrictions.
- 3 The view point is **to encourage domestic industry** on grounds of **self-sufficiency and domestic employment**.

KEY TERMINOLOGY IN ECONOMY

ENTERPRISE



Soap



Laptop



Mobile



Table



Teaching



Doctor



Barber

ENTERPRISE

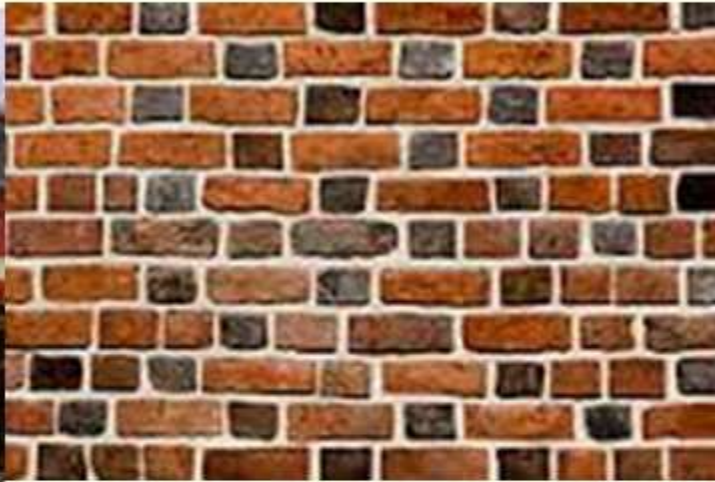


Enterprise is an undertaking owned and operated by an individual or by a group of individuals to produce and / or distribute goods and / or services mainly for the purpose of sale.



KEY TERMINOLOGY IN ECONOMY

BARRIERS TO ENTRY



BARRIERS TO ENTRY

- These are the factors, which make it disadvantageous for new entrants to enter an industry.
- This makes the new entrants, quite difficult to enter the field.

KEY TERMINOLOGY IN ECONOMY

BILATERAL TRADE AGREEMENTS



BILATERAL TRADE AGREEMENTS

This relates to two countries and the agreements relate to either exchange of goods or services.

KEY TERMINOLOGY IN ECONOMY

COMMERCIALISATION OF AGRICULTURE



- 1 It implies **production of crops** for the market.
- 2 Not for **self-consumption**.
- 3 It has got a **different meaning** during the **British era**.
- 4 The British offered a **higher price** for **farmers** for producing cash crops than for food crops.
- 5 This is basically to serve their interests as these are used **as raw materials** for **industries in Britain**.

DE-RESERVATION



DE-RESERVATION

Allowing an industry or group of enterprises to produce goods and services, which were previously produced by a particular individual or group of enterprises.

EXIM POLICY



EXIM POLICY

The economic policies of the Government relating to its exports and imports.

KEY TERMINOLOGY IN ECONOMY

INTEGRATION OF DOMESTIC ECONOMY



INTEGRATION OF DOMESTIC ECONOMY

Here the policies of Government facilitate free trade and investment with other countries, making the domestic economy work together with other economies in an efficient and mutually interdependent way.

KEY TERMINOLOGY IN ECONOMY

MULTI-LATERAL TRADE AGREEMENTS



Association of Southeast
Asian Nations(ASEAN)



North American Free
Trade Agreement
(NAFTA)

MULTI-LATERAL TRADE AGREEMENTS

Multilateral trade agreements are commerce treaties between three or more nations

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